

Customer Segmentation

Customer Analytics / Segmentation

Submitted By: **Payal Sabale**

Program: MBA – Finance

College: Prof. Ram Meghe Institute of Technology and Research, Amravati

University: Sant Gadge Baba Amravati University

Department: MBA Department

Academic Year: 2026–2027

1. Executive Summary

This project groups customers into meaningful segments using purchasing behavior. The purpose is to help businesses understand customer value and design suitable marketing strategies.

2. Objectives

- Understand customer purchasing behavior.
- Identify high-value and low-value groups.
- Create actionable customer segments.
- Support targeted marketing decisions.

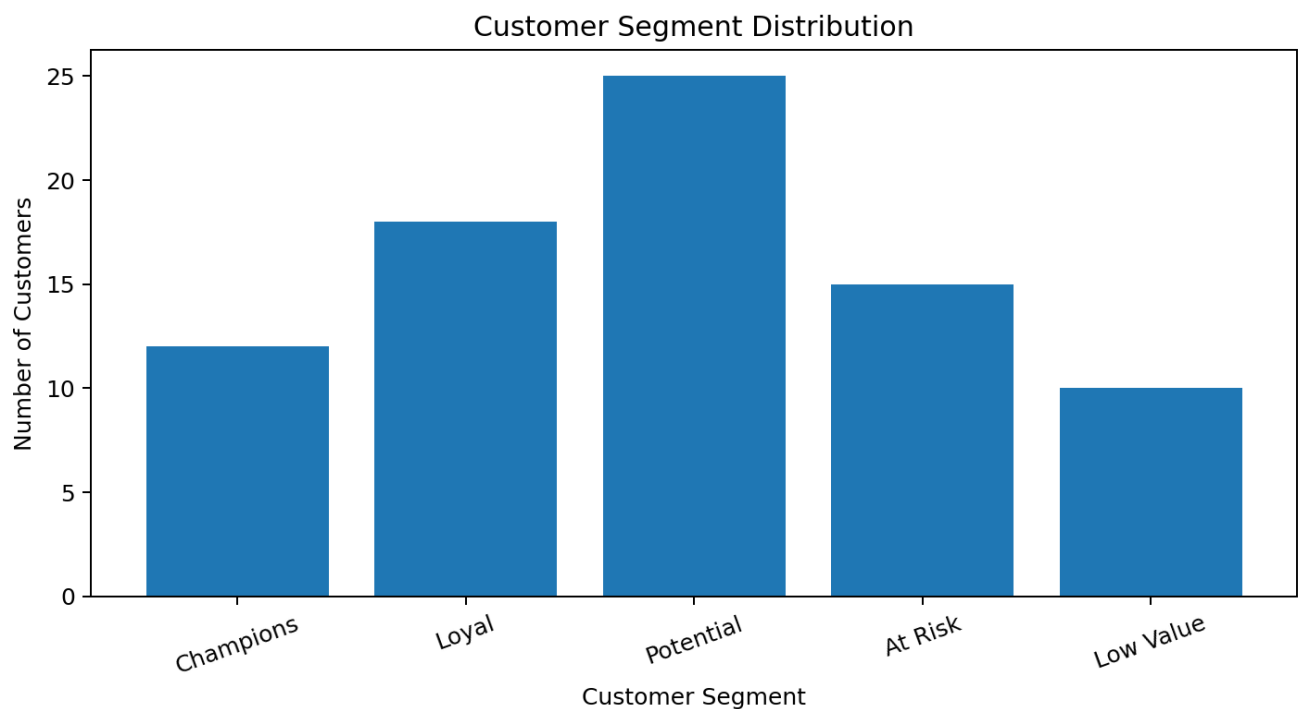
3. Dataset

The project uses an illustrative customer dataset containing customer-level purchase information. The segment counts shown below are for academic demonstration.

4. RFM Analysis

RFM stands for Recency, Frequency and Monetary value. Recency measures how recently a customer purchased, Frequency measures how often they purchased, and Monetary value measures how much they spent.

5. Customer Segment Distribution



6. Methodology

Customers are evaluated using purchasing behavior and grouped into practical segments such as Champions, Loyal, Potential, At Risk and Low Value. The segmentation helps match customer needs with suitable actions.

7. Segment Strategy

Champions: reward and retain them. Loyal: offer loyalty benefits. Potential: encourage repeat purchases. At Risk: use re-engagement offers. Low Value: use low-cost targeted communication.

8. Tools

Microsoft Excel, Python, Pandas, Matplotlib and PDF reporting.

9. Limitations

The dataset and segment counts are synthetic/illustrative and should not be treated as real customer records.

10. Conclusion

Customer segmentation enables businesses to move from one-size-fits-all marketing toward targeted strategies. RFM-based segmentation provides a simple and practical starting point.